

STATE OF NEW YORK

9469--A

IN ASSEMBLY

January 6, 2026

Introduced by M. of A. WIEDER -- read once and referred to the Committee on Corporations, Authorities and Commissions -- recommitted to the Committee on Corporations, Authorities and Commissions in accordance with Assembly Rule 3, sec. 2 -- committee discharged, bill amended, ordered reprinted as amended and recommitted to said committee

AN ACT to amend the public authorities law, in relation to creating the CR clean water and sewer authority

The People of the State of New York, represented in Senate and Assembly, do enact as follows:

1 Section 1. Short title. This act shall be known and may be cited as
2 the "CR clean water and sewer authority act".

3 § 2. Article 5 of the public authorities law is amended by adding a
4 new title 11-E to read as follows:

TITLE 11-E

CR CLEAN WATER AND SEWER AUTHORITY

Section 1349-a. Definitions.

8 1349-b. Prior sewer district.

9 1349-c. Abolishing the prior sewer district.

10 1349-d. CR clean water and sewer authority.

11 1349-d-1. Additional municipalities joining the authority.

12 1349-e. Powers of the authority.

13 1349-f. Advances on behalf of the authority; transfer of prop-
14 erty to authority.

15 1349-g. Charges by the authority; method of collection.

16 1349-h. County officers and employees.

17 1349-i. Obligation of public utilities.

18 1349-i-1. Municipal and district officers and employees.

19 1349-i-2. Employees of the authority.

20 1349-j. Environmental applications, proceedings, approvals and
21 permits.

22 1349-k. Governmental capacity of the authority and munici-
23 palities.

24 1349-l. Limited liability.

25 1349-m. Bonds of the authority.

EXPLANATION--Matter in italics (underscored) is new; matter in brackets
[-] is old law to be omitted.

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1349-n. Remedies of bondholders.

1349-o. State, county and municipalities not liable on bonds of the authority.

1349-p. Moneys of the authority.

1349-q. Bonds and notes as legal investment.

1349-r. Agreement with the state.

1349-s. Exemption from taxes, assessments and certain fees.

1349-t. Obligations of contracts not impaired.

1349-u. Construction contracts.

1349-v. Actions against the authority.

1349-w. Audit and annual report.

1349-x. Separability clause.

1349-y. Effect of inconsistent provisions.

§ 1349-a. Definitions. As used in this title, unless a different meaning clearly appears from the context:

1. "Alternative project delivery contract" shall mean any project delivery method authorized by this title, including design-build, construction manager at risk and construction manager build, pursuant to which one or more contracts for the provision of design and construction services, or construction management and construction services, are awarded through an open and competitive method of procurement.

2. "Authority" shall mean the public benefit corporation created by section thirteen hundred forty-nine-d of this title.

3. "Authority sewer system" shall mean the prior sewer district system, including any plants, pump stations, collection or project interceptors which was owned by the county, and operated and maintained by the prior sewer district on the date of termination, and any projects made after the date of transfer to the authority, and as expanded pursuant to any agreements with new members.

4. "Bonds" shall mean the bonds, notes or other evidences of indebtedness issued by the authority.

5. "Calendar year and official year" shall mean the twelve-month period from January first through December thirty-first.

6. "Comptroller" shall mean the comptroller of the state of New York.

7. "Construction" shall mean the negotiation, acquisition, erection, building, alteration, improvement, testing, increase, enlargement, extension, reconstruction, interconnection, renovation or rehabilitation of a sewerage facility, sewer system or a project as defined herein; the inspection and supervision thereof; and the engineering, architectural, legal, appraisal, fiscal, economic and environmental investigations, services and studies, surveys, designs, plans, working drawings, specifications, procedures and other actions incidental thereto.

8. "Costs", as applied to any project, shall include the cost of construction, the cost of the acquisition of all property, including both real, personal and mixed, the cost of demolishing, removing or relocating any building or structures on lands so acquired including the cost of acquiring any land to which such buildings or structures may be moved or relocated, the cost of all systems, sewerage facilities, machinery, apparatus and equipment, financing charges and bond discount, interest to the extent not paid or provided for from revenues or other sources, the cost of engineering and architectural surveys, plans and specifications, bond insurance, bond credit enhancement arrangements, other expenses necessary or incidental to the construction of such project and the financing of the construction thereof, including the cost of legal and financial advice and credit arrangements with banks or other financial institutions, the amount authorized in the resolution of

1 the authority providing for the issuance of bonds to be paid into any
2 reserve or special fund from the proceeds of such bonds and the financ-
3 ing of the placing of any project in operation.

4 9. "County" shall mean, unless otherwise specifically stated, the
5 county of Rockland.

6 10. "County legislature" shall mean the county legislature of the
7 county.

8 11. "Governing body" shall mean the members of the authority consti-
9 tuting and acting as the governing board of the authority.

10 12. "Members" shall mean the members of the board of directors.

11 13. "Municipality" shall mean any county, city, town, village,
12 district or any combination thereof.

13 14. "Person" shall mean any natural person, partnership, association,
14 joint venture, limited liability company or corporation, exclusive of a
15 public corporation as defined pursuant to article two-A of the general
16 construction law.

17 15. "Prior sewer district" shall mean the Rockland county sewer
18 district no. 1 heretofore established by the county legislature and
19 existing on the day immediately prior to the effective date of this
20 title with the boundaries set forth as defined in the rules and regu-
21 lations of the Rockland county code, part I - administrative legis-
22 lation, chapter 165-3.

23 16. "Prior sewer district system" shall mean all sewers, including,
24 without limitation, trunk, intercepting, connecting and other sewers,
25 storm water drains, pumping stations, disposal or treatment plants or
26 works, structures, appliances, equipment and other adjuncts thereto,
27 comprising the entire system of sewerage owned by the county and oper-
28 ated and maintained by the prior sewer district at the time of the
29 creation of the authority.

30 17. "Project" shall mean any and all phases of, acquisition, planning,
31 development, financing, construction, operation or maintenance which are
32 undertaken in whole or in part by the authority for the authority sewer
33 system.

34 18. "Project labor agreement" shall mean a pre-hire collective
35 bargaining agreement between a contractor and a bona fide building and
36 construction trade labor organization establishing the labor organiza-
37 tion as the collective bargaining representative for all persons who
38 will perform work on a project, and which provides that only contractors
39 and subcontractors who sign a pre-negotiated agreement with the labor
40 organization can perform project work.

41 19. "Real property" shall mean lands, structures, franchises and
42 interests in lands, waters, lands under water, groundwater riparian
43 rights and air rights and any and all things and rights customarily
44 included within the term "real property" and includes not only fee
45 simple absolute, but also any and all lesser interests including, but
46 not limited to easements, rights-of-way, uses, leases, licenses and all
47 other incorporeal hereditaments and every estate, interest or right,
48 legal or equitable, including terms for years and liens thereon by way
49 of judgment, mortgages or otherwise.

50 20. "Service area" shall mean the territorial limits of the prior
51 sewer district, including any areas outside such territorial limits of
52 the prior sewer district that were served by the prior sewer district
53 and any areas of the county whereby the territorial limits of the prior
54 sewer district have been expanded pursuant to section thirteen hundred
55 forty-nine-d-1 of this title.

1 21. "Sewage" shall mean the water-carried human or animal waste from
2 residences, buildings, industrial establishments or other places,
3 together with such groundwater infiltration, surface water, or indus-
4 trial waste as may be present. Such term includes both domestic sewage
5 and wastewaters that may adversely affect public health, water quality,
6 or the proper functioning of a sewage treatment system.

7 22. "Sewerage facilities" shall mean any plants, structures and other
8 real and personal property acquired, rehabilitated or constructed or
9 planned for the purpose of collecting, conveying, pumping, treating,
10 neutralizing, storing and disposing of sewage, including but not limited
11 to main, trunk, intercepting, connecting, lateral, outlet or other
12 sewers, outfalls, pumping stations, treatment and disposal plants,
13 groundwater recharge basins, back-flow prevention devices, sludge dewatering
14 or disposal equipment and facilities, clarifiers, tilters, phosphorus
15 removal equipment and other plants, works, structures, equipment,
16 vehicles, conveyances, contract rights, franchises, approaches,
17 connections, permits, real or personal property or rights therein and
18 appurtenances thereto necessary or useful and convenient for the
19 collection, conveyance, pumping, treatment, neutralizing, storing and
20 disposing of sewage and to the extent not covered by the foregoing, any
21 facilities operated and maintained by the prior sewer district.

22 23. "State" shall mean the state of New York.

23 24. "State agency" shall mean any state office, public benefit corpo-
24 ration, department, board, commission, bureau or division, or other
25 agency or instrumentality of the state.

26 25. "System revenues" shall mean rates, rents, fees, charges,
27 payments, assessments and other income and receipts derived from users
28 of the sewerage facilities of the authority without limiting the gener-
29 ality of the foregoing, investment proceeds and proceeds of insurance,
30 condemnation sales or other dispositions of assets together with all
31 federal, state or municipal aid as well as any other income derived from
32 the operation of the sewerage facilities of the authority.

33 26. "Treasurer" shall mean the treasurer of the authority.

34 § 1349-b. Prior sewer district. The prior sewer district primarily
35 served the towns of Ramapo and Clarkstown as well as the villages of
36 Hillburn and Sloatsburg. The prior sewer district operated and main-
37 tained the wastewater treatment plants in Orangeburg and Hillburn as
38 well as the major interceptors and pumping stations in the sewer system
39 and, pursuant to a contractual arrangement, all sewers within the
40 villages of Spring Valley, New Square, and sewers serving several
41 parcels in the town of Orangetown.

42 § 1349-c. Abolishing the prior sewer district. Notwithstanding any
43 inconsistent provisions of the county law, the county charter, or any
44 other general, special or local law, the prior sewer district, upon an
45 affirmative vote of the county legislature, is hereby abolished,
46 dissolved and merged into the authority and all of the rights, privi-
47 leges, duties, responsibilities and obligations of the prior sewer
48 district shall become the rights, privileges, duties, responsibilities
49 and obligations of the authority. The prior sewer district system,
50 together with all contracts, books, maps, plans, papers and records of
51 whatever description pertaining to subjects or matters relating to the
52 design, construction, operation and affairs of the prior sewer district
53 system shall be assigned, transferred and dedicated to the use of and be
54 in the possession of and under the jurisdiction, control and supervision
55 of the authority and the authority is empowered to take possession ther-
56 eof for its uses and purposes. The authority shall thereafter have

1 complete jurisdiction, control, possession and supervision of the prior
2 sewer district system and of all related sewerage facilities. Notwith-
3 standing the provisions of any state or local law to the contrary, the
4 county shall transfer to the authority any funds which were in the prior
5 sewer district's accounts upon dissolution thereof, as well as any prior
6 sewer district fund balance held by the county on behalf of the prior
7 sewer district, or grant recoveries received in connection with assets
8 acquired by the authority from the county, which funds shall be used by
9 the authority for the limited purposes of supporting necessary capital
10 investments, debt service, debt service-related expenses and reserve
11 requirements. The county budget adopted for each fiscal year shall
12 contain a separate section for the authority showing amounts which are
13 anticipated to be necessary for the authority to pay the principal of
14 and interest on any outstanding bonds or notes of the county issued for
15 the prior sewer district. The authority budget adopted each year shall
16 include such principal and interest amounts and the authority shall pay
17 such amounts to the county on an annual basis.

18 § 1349-d. CR clean water and sewer authority. 1. A corporation known
19 as the CR clean water and sewer authority is hereby created for the
20 purposes and charged with the duties and having the powers provided in
21 this title. The authority shall be a corporate governmental agency
22 constituting a public benefit corporation and shall be considered a
23 public employer. Upon its formation, the authority shall be governed by
24 a governing body consisting of nine members, all of whom shall be resi-
25 dents of the service area of the authority, except that any member serv-
26 ing ex officio pursuant to this section shall not be subject to such
27 residency requirement, appointed as follows:

- 28 (a) one by the county executive;
- 29 (b) two by the chairperson of the county legislature;
- 30 (c) one by the minority leader of the county legislature;
- 31 (d) the supervisor of the town of Ramapo as an ex officio member of
32 the board;
- 33 (e) two selected by the supervisor of the town of Ramapo subject to
34 the confirmation of the Ramapo town board;
- 35 (f) the supervisor of the town of Clarkstown as an ex officio member
36 of the board;
- 37 (g) one selected by the supervisor of the town of Clarkstown subject
38 to the confirmation of the Clarkstown town board; and
- 39 (h) all ex officio members are voting members of the board.

40 2. The term of any elected official serving as a member of the author-
41 ity shall have a term that coincides with such member's term of elective
42 office. At the conclusion of an individual's term of office, an appoint-
43 ing authority may select a new member of that class. For ex officio
44 members, there is no requirement for re-appointment where a single indi-
45 vidual serves successive terms in the same elected office. Nothing here-
46 in shall be deemed to limit or control the designation or term of any
47 member serving as chairperson or vice-chairperson pursuant to this
48 title.

49 (a) If new municipalities or districts join the authority in the
50 manner specified in section thirteen hundred forty-nine-d-1 of this
51 title, the authority's board may be reformed and reconstituted by a
52 resolution of the governing body of the authority.

53 (b) The members of the governing body shall be reimbursed for all of
54 their actual and necessary expenses incurred in connection with the
55 carrying out of the purposes of this title.

1 (c) Any member of the authority may be removed from office by a vote
2 of five members of the authority for gross neglect of duty, misconduct,
3 maladministration or malfeasance in office, including the unexcused
4 failure to attend three consecutive regular meetings of the authority.

5 (d) All members shall continue to hold office until their successors
6 are appointed and qualified.

7 (e) Vacancies occurring otherwise than by expiration of term shall be
8 filled in the same manner as that of the departing member, respectively,
9 for the unexpired term.

10 (f) Members may be removed from office for the same reasons and in the
11 same manner as provided by law for the removal of officers of the coun-
12 ty, pursuant to section three of the public officers law.

13 3. The powers of the authority shall be vested in and exercised by the
14 governing body at a meeting duly called and held where a quorum of five
15 members is present. No action shall be taken except by the favorable
16 vote of at least five members. The governing body may delegate to one or
17 more of its members or officers such powers and duties as it may deem
18 proper.

19 4. (a) The officers of the authority shall consist of a chairperson, a
20 vice-chairperson and a treasurer who shall be members of the authority,
21 and a secretary who need not be a member of the authority. Notwithstand-
22 ing any other provision of this title, the supervisor of the town of
23 Ramapo shall serve as the first chairperson of the authority, and the
24 supervisor of the town of Clarkstown shall serve as the first vice-
25 chairperson of the authority, each commencing upon the formation of the
26 authority. The initial term of the chairperson and vice-chairperson
27 designated pursuant to subdivision one of this section shall be three
28 years. Following the expiration of the initial term, the offices of
29 chairperson and vice-chairperson shall at all times be held by the
30 supervisors of the town of Ramapo and the town of Clarkstown, respec-
31 tively, or their successors in office, such that each town shall contin-
32 uously hold one of such offices. After the expiration of the initial
33 three-year term, the offices of chairperson and vice-chairperson shall
34 rotate between the supervisors of the town of Ramapo and the town of
35 Clarkstown every two years, with each supervisor alternately serving as
36 chairperson and vice-chairperson. In the event that a supervisor serving
37 as chairperson or vice-chairperson ceases to hold the office of supervi-
38 sor, the successor supervisor shall assume the corresponding position on
39 the authority and shall serve the remainder of the applicable term. The
40 chairperson and vice-chairperson of the authority may receive compen-
41 sation for their service in such amounts as may be determined from time
42 to time by resolution of the governing body. The governing body may
43 also, in its discretion, authorize compensation for other members of the
44 authority, subject to such terms and conditions as the governing body
45 shall determine. All members shall continue to be eligible for
46 reimbursement of actual and necessary expenses incurred in the perform-
47 ance of their duties.

48 (b) At the first meeting of the governing body and at the first meet-
49 ing thereof in each fiscal year thereafter the members of the governing
50 body shall choose from their number the officers of the authority,
51 except for the offices of chairperson and vice-chairperson, which shall
52 be designated and governed in accordance with this section. Except for
53 the offices of chairperson and vice-chairperson, which shall be designed
54 and governed in accordance with this section, the officers of the
55 authority shall serve at the pleasure of the authority. In addition to
56 such officers, the authority may appoint and at its pleasure remove an

1 executive director, authority counsel, chief financial officer, and such
2 other executive level positions as the board may desire, which positions
3 shall be in the exempt class of the civil service, and such additional
4 officers and employees as it may deem necessary, and may determine and
5 fix their qualifications, and duties subject to the provisions of the
6 civil service law. The authority may delegate to one or more of its
7 members, officers, agents or employees any such powers as it may deem
8 proper. The authority may also contract for expert professional services
9 however, the authority shall not contract for professional services that
10 were, prior to the effective date of this chapter, performed by a county
11 or municipal employee unless specifically authorized by law. The treas-
12 urer shall execute a bond conditioned on the faithful performance of the
13 duties of such treasurer's office, the amount and sufficiency of which
14 shall be approved by the governing body and the premium for which shall
15 be paid by the authority. The authority may also use the agents, employ-
16 ees, records and equipment of the county with the consent of the county.

17 5. Notwithstanding any inconsistent provision of any general, special
18 or local law, ordinance, resolution or charter, and subject to and
19 consistent with section thirteen hundred forty-nine-h of this title, no
20 officer, member or employee of the state, any municipality or any public
21 benefit corporation shall forfeit their office or employment by reason
22 of their acceptance of appointment as a member, officer, agent or
23 employee of the authority, nor shall service as a member, officer, agent
24 or employee of the authority be deemed incompatible or in conflict with
25 such office, membership or employment. The members and employees of the
26 authority shall be subject to all requirements of state and county law
27 pertaining to ethics and financial disclosure to which members of the
28 county legislature and employees of the county, respectively, are
29 subject.

30 6. It is hereby determined and declared that the authority and the
31 carrying out of its powers, purposes and duties are in all respects for
32 the benefit of the people of the municipalities within the bounds of the
33 authority and state, for the improvement of their health, welfare and
34 prosperity and that the said purposes are a public purpose and that the
35 authority is and will be performing an essential governmental function
36 in the exercise of the powers conferred upon it by this title.

37 7. The purpose of this title, among other things, is to provide for
38 the jurisdiction, control, possession, supervision and use of the sewer-
39 age facilities; authorization to make rules and regulations in further-
40 ance of this title; the enforcement of this title, the rules, regu-
41 lations, permits and orders of the authority in connection with the
42 direct or indirect use of the sewerage facilities by persons within the
43 county of Rockland and any other persons from whom the authority
44 accepts, treats and disposes of sewage, industrial waste, and other
45 waste, from whatever source derived; and to enable the authority to
46 comply with all applicable laws of the United States and the state of
47 New York, and the rules, regulations, permits and orders of their regu-
48 latory agencies.

49 8. (a) The county executive shall file on or before the twelve-month
50 anniversary of the date on which this title shall have become a law, in
51 the office of the secretary of state, a certificate signed by the county
52 executive setting forth: (i) the name of the authority; (ii) the names
53 of the initial members; and (iii) the effective date of this title. The
54 authority shall be perpetual in duration, except that if such resolution
55 and certificate are not filed with the secretary of state on or before
56 such date, then the power of the legislature of the county to approve

1 the creation of the authority shall thereupon lapse, the authority shall
2 not be deemed to have been created hereby and shall not exist or be
3 deemed to have existed, and the provisions of this title shall no longer
4 have any force or effect.

5 (b) Except as provided in paragraph (a) of this subdivision, the
6 authority and its corporate existence shall continue until terminated by
7 law, provided, however, that no such law shall take effect so long as
8 the authority shall have bonds or other obligations outstanding unless
9 adequate provision has been made for the payment or satisfaction there-
10 of. Upon termination of the authority, all sewerage facilities, rights
11 and property, then remaining shall pass to and then vest in the county.

12 9. Until such time as the authority adopts its own sewer use regu-
13 lations pursuant to section thirteen hundred forty-nine-e of this title,
14 the authority hereby adopts the county sewer use law (laws of Rockland
15 county, chapter three hundred forty-five), with the powers and duties of
16 that law granted to the authority in the place of the prior sewer
17 district.

18 10. All officers and employees of the authority shall be considered
19 public employees.

20 11. The authority shall be subject to the civil service law.

21 12. The authority shall be a participant in the New York state and
22 local employees' retirement system and be authorized to carry out other
23 retirement plans authorized pursuant to the retirement and social secu-
24 rity law, which may be offered to all of its officers and employees not
25 participating in the New York state and local employees' retirement
26 system, and to establish and carry out other incentive and benefit
27 plans, trusts, and provisions for any or all of its officers and employ-
28 ees, subject to the applicable provisions of article fourteen of the
29 civil service law.

30 § 1349-d-1. Additional municipalities joining the authority. A munici-
31 pality that owns a sewer system or sewer collection system, in whole or
32 in part, located either within or outside of the service area, may
33 request that the authority include such sewer system or sewer collection
34 system in the authority sewer system upon a majority vote of the legis-
35 lative body of such municipality. If such request is approved by the
36 authority upon a majority vote of the authority governing body, such
37 municipality's sewer system shall be incorporated into the authority
38 sewer system subject to the provisions of this section. Notwithstanding
39 the foregoing, no incorporation of a municipality located outside the
40 existing service area, and no expansion of the service area of the
41 authority, shall be deemed complete or effective unless and until a
42 revised metes and bounds description reflecting such expansion has been
43 duly adopted. The terms and conditions of such incorporation shall be
44 set forth in an agreement between the municipality and the authority.

45 § 1349-e. Powers of the authority. The authority shall have power:

46 1. To sue and be sued;

47 2. To have a seal and alter the same;

48 3. To accept, treat and dispose of the sewage and waste of municipal
49 corporations in the county of Rockland and from any other persons from
50 whatever source derived;

51 4. To reduce the generation and discharge of sewage, waste and pollu-
52 tants, promote the conservation and efficient use of fresh water
53 resources, protect the environment, and safeguard public health within
54 the county of Rockland;

55 5. To acquire in the name of the authority, hold, sell, lease, mort-
56 gage or otherwise dispose of property, real, personal or mixed, or any

1 interest therein, without limitation, for its corporate purposes. In
2 selecting the location for any real property to be acquired or leased,
3 the authority shall give consideration to the present and any proposed
4 land use character of the area in which such site is to be located and
5 shall be subject to and exempt from the zoning laws or regulations, if
6 any, otherwise generally applicable to such area to the same extent that
7 the county is subject to and exempt from the zoning laws or regulations
8 otherwise generally applicable to such area;

9 6. To prepare or cause to be prepared plans, designs and estimates of
10 costs for the construction of a project, and from time to time to modify
11 such plans, designs or estimates;

12 7. To construct a project and any additions, betterments and exten-
13 sions to the sewerage facilities of the authority by contract or
14 contracts, or under, through, or by means of its own officers, agents
15 and employees;

16 8. To have jurisdiction, control, possession and supervision of the
17 authority sewer system and any project; to maintain, operate, recon-
18 struct and improve the same as a comprehensive sewerage system and to
19 make additions, betterments and extensions thereto, and to have all the
20 rights, privileges and jurisdiction necessary or proper for carrying
21 such power into execution. No enumeration of powers in this or any other
22 general, special or local law shall operate to restrict the meaning of
23 this general grant of power or to exclude other powers comprehended
24 within this general grant;

25 9. To condemn in the name of the authority pursuant to the eminent
26 domain procedure law, any real property within the county and required
27 by the authority to carry out the powers granted by this title;

28 10. To plan, develop and construct projects and to pay the cost there-
29 of and to contract in relation thereto with municipalities or persons
30 within or without the county and to own and operate, maintain, repair,
31 improve, reconstruct, enlarge and extend, subject to the provisions of
32 this title, any of its projects acquired or constructed under this
33 title, and to sell, lease, mortgage, grant a security interest in,
34 pledge, encumber, or otherwise dispose of any project or part thereof to
35 any person, municipality or public corporation, subject to such condi-
36 tions and limitations as the authority may determine to be in the public
37 interest, and to apply for, hold and perform its obligations under any
38 permit, license, approval, or other legal entitlement which may be
39 required for its projects, services or exercise of powers;

40 11. To make rules, regulations and by-laws pertaining to and governing
41 the management and regulation of its affairs and, subject to agreements
42 with bondholders, the use of any project or other property of the
43 authority and the provision of any service by the authority, which
44 rules, regulations and by-laws and all amendments thereto, duly certi-
45 fied by the secretary of the authority, shall be filed in the office of
46 the authority and in the office of the clerk of the county, and to
47 provide for the enforcement of such rules, regulations and by-laws by
48 legal or equitable proceedings which are or may be provided or author-
49 ized by law. In addition, the county legislature shall have power to
50 prescribe that violations of specific rules, regulations and by-laws of
51 the authority shall constitute violations and provide for the enforce-
52 ment of violations thereof by civil penalties, including any such rules,
53 regulations and by-laws requiring the payment of fees or charges by any
54 person in connection with the service or availability or service by any
55 sewerage facility owned or under contract to the authority;

1 12. With the consent of the county executive, to use officers or
2 employees of the county and to pay a proper portion of the compensation
3 or costs for the services for such officers or employees;

4 13. To make contracts and to execute all necessary or convenient
5 agreements, documents and instruments, including evidences of indebt-
6 edness, negotiable or non-negotiable;

7 14. To enter on any lands, waterways or premises as in the judgment of
8 the authority shall be necessary for the purpose of making borings,
9 samples, surveys, soundings and examinations, including the examination
10 of any effluent source, and to accomplish any purpose authorized by this
11 title, any liability for which shall not exceed actual damages;

12 15. To enter upon streets, highways, bridges or public places for the
13 purpose of constructing a project or any part thereof, or any addition,
14 betterment or extension to the sewerage facilities of the authority.
15 Whenever the authority has entered upon and damaged any street, highway,
16 bridge or other public place the authority shall restore the same to its
17 former condition;

18 16. To accept, treat and dispose of the sewage and waste collected or
19 delivered to the authority sewer system;

20 17. To borrow money and to issue bonds and to fund or refund the same,
21 and to provide for the rights of the holders thereof;

22 18. To procure insurance, letters of credit, lines of credit, or other
23 credit enhancement with respect to its bonds or notes issued pursuant to
24 this title, or facilities for the payment of tenders of such bonds or
25 notes or facilities for the payment upon maturity of short-term notes
26 not renewed;

27 19. To enter into interest rate exchange or similar arrangements with
28 any person under such terms and conditions as the authority may deter-
29 mine including, without limitation, provisions as to default or early
30 termination and indemnification by the authority or any other party
31 thereto for loss of benefits as a result thereof;

32 20. To fix and collect rates, rentals, fees and other charges for the
33 use of the sewerage facilities of, or services provided by, or any
34 commodities furnished by, the authority, and to contract with any muni-
35 cipality in respect thereto, so as to provide revenues sufficient at all
36 times to pay, as the same shall become due, the principal and interest
37 on the bonds of the authority, together with the maintenance of proper
38 reserves therefor, in addition to paying, as the same shall become due,
39 the expenses of operating and maintaining the properties and business of
40 the authority and meeting all of its contractual and other obligations,
41 together with proper reserves for debt service, depreciation, mainte-
42 nance and contingencies and all other obligations and indebtedness of
43 the authority;

44 21. To enter into agreements, in its direction, to pay annual sums in
45 lieu of taxes to any municipality in respect to any real property which
46 is owned by the authority and located in such municipality, political
47 subdivision or taxing district;

48 22. To accept gifts, grants, loans or contributions from the United
49 States, the state or any agency or instrumentality of either of them, or
50 any municipality or from any person or public corporation, by bequest or
51 otherwise, and to expend the proceeds for any corporate purposes of the
52 authority;

53 23. To covenant and consent that the interest on any of its bonds or
54 notes issued pursuant to this title shall be includible, under the
55 United States Internal Revenue Code of 1986, as amended, or any subse-
56 quent corresponding internal revenue law of the United States, in gross

1 income of the holder of the bonds or notes to the same extent and in the
2 same manner that the interest on bills, bonds, notes or other obli-
3 gations of the United States is includible in the gross income of the
4 holders thereof under said Internal Revenue Code or any such subsequent
5 law;

6 24. To enter into contracts, and carry out the terms thereof, for the
7 wholesale provision of sewerage disposal with municipalities and private
8 individuals or corporations; however, the authority shall not outsource,
9 privatize, or in any other way diminish work that was, prior to the
10 effective date of this section, performed by a county or municipal
11 employee unless specifically authorized by law.

12 25. To enter into cooperative agreements with other authorities, muni-
13 cipalities, sewer districts and other public corporations for the inter-
14 connection of sewerage facilities, the exchange or interchange of
15 services and commodities and, within the service area, enter into
16 contracts for the construction and operation and maintenance of all or a
17 portion of the authority sewer system, upon such terms and conditions as
18 shall be determined to be reasonable including but not limited to the
19 reimbursement of all costs of such construction, or for any other lawful
20 purposes necessary or desirable to effect the purposes of this title;
21 and

22 26. To do all things necessary or convenient to carry out the powers
23 expressly given in this title.

24 § 1349-f. Advances on behalf of the authority; transfer of property to
25 authority. 1. The county or any other municipality may give, grant,
26 sell, convey, loan, license the use of or lease to the authority any
27 property or facility which is useful to the authority in order to carry
28 out its powers under this title; provided, however, that any such trans-
29 fer of property shall be upon such terms and conditions and subject to
30 the rights of the holders of any bonds, as the authority and the county
31 or other municipality may agree. The county or any other municipality
32 shall have the power to contract with the authority to carry out the
33 purposes and intent of this title.

34 2. Notwithstanding the provisions of any other law, general, special
35 or local to the contrary, real property acquired by the authority or the
36 county from the state may be used for any corporate purpose of the
37 authority.

38 3. Nothing in this section shall result in the displacement of any
39 currently employed county or municipal worker or the loss of position,
40 including partial displacement such as reduction in the hours of non-ov-
41 ertime, wages or employment benefits, or result in the impairment of
42 existing contracts for services or collective bargaining rights pursuant
43 to existing agreements. No services or work on any property given,
44 granted, sold, conveyed, loaned, licensed, or leased to the authority
45 currently performed by public employees or future work that is similar
46 in scope and nature to the work being currently performed by public
47 employees shall be contracted out or privatized by the county, muni-
48 city or public authority. All such future work shall be performed by
49 public employees.

50 § 1349-g. Charges by the authority; method of collection. 1. The
51 authority may fix, impose, and collect, on any equitable basis, rates,
52 rentals, fees and other charges for the use of the authority sewer
53 system or services provided by the authority, including the availability
54 of any of the foregoing from the authority. Such rates, rentals, fees
55 and other charges may be fixed, imposed, and collected from any person
56 to whom such sewerage facilities or services are provided by or made

1 available from the authority. In any instance where the county is or
2 would be required by law, to conduct a public hearing in connection with
3 a rate, rental, fee or other charge, the authority shall not establish,
4 fix, or revise any classification of user or service recipient, rate,
5 rental, fee or other charge unless and until the authority has held a
6 public hearing at which interested persons have had an opportunity to be
7 heard concerning the same; provided however, that if the county has
8 conducted a public hearing in connection with such rate, rental, fee or
9 other charge, the authority shall not be required to hold a public hear-
10 ing. Notice of any such public hearing shall be published at least ten
11 days before the date set therefor, in at least one newspaper of general
12 circulation in the county. Such notice shall set forth the date, time
13 and place of such hearing and shall include a brief description of the
14 matters to be considered at such meeting. A copy of the notice shall be
15 available for inspection by the public. At any such hearing, any inter-
16 ested persons shall have an opportunity to be heard concerning the
17 matters under consideration. Any decision by the authority at such
18 public hearing shall be in writing and be made available in the office
19 of the authority for public inspection during regular office hours.

20 2. Notwithstanding any other law to the contrary, all rates, rentals,
21 fees and other charges for the use of the authority sewer system or
22 services provided or made available by the authority may be imposed upon
23 all properties where services are made available, placed on the annual
24 tax rolls of the respective municipalities as a separate item under the
25 heading "sewer disposal charge," and collected and are paid to the
26 authority in the same manner as the real property taxes of the various
27 municipalities located within the county are collected and paid to such
28 municipalities. Such amounts, when collected by the several municipal
29 collectors or receivers of taxes, shall be paid over to the county. A
30 list of those properties within each respective municipality upon which
31 the sewer disposal charge shall be imposed for the upcoming year shall
32 be established on or before the first day of December in each year. All
33 rates, rentals, fees and other charges for the use or availability of
34 the authority sewer system or services provided by the authority shall
35 be a lien upon the real property upon which, or in connection with
36 which, services are provided or made available, as and from the first
37 date fixed for payment of such rates, rentals, fees and other charges.
38 Any such lien shall have the same priority and superiority as the lien
39 of the general tax of the county. All of the provisions of the tax law
40 of the state governing enforcement and collection of taxes or assess-
41 ments for special improvements not inconsistent herewith shall apply to
42 the collection of such rates, rentals, fees and other charges.

43 § 1349-h. County officers and employees. 1. Any individual who is an
44 officer or employee of the county employed by the county in a position
45 funded by the 'G' fund of the county budget as of the date of the forma-
46 tion of the authority, shall remain an employee of the county and shall
47 continue to work in the same or similar capacity. Such individuals
48 shall be known as "legacy employees".

49 2. Both the county and the authority shall be bound by all collective
50 bargaining agreements in effect as of the effective date of this title
51 and be bound by any and all successor agreements between the county and
52 the employee organization representing legacy employees. All benefits
53 provided to the legacy employees, pursuant to county resolution, law,
54 policy, or past practices shall continue to be provided to the legacy
55 employees.

1 3. All salaries, compensation, other remuneration, cost of benefits,
2 of any kind or type, provided to legacy employees by the county shall be
3 paid by the county, as currently, and shall be reimbursed by the author-
4 ity.

5 4. There shall be no layoffs of any officers or employees of the coun-
6 ty which are a direct consequence of the enactment of this title.
7 There shall be a presumption that any layoffs occurring more than sixty
8 months after the date of their participation described in this subdivi-
9 sion shall be deemed not to be such a direct consequence.

10 § 1349-i. Obligation of public utilities. Wherever railroad tracks,
11 street railroad tracks, gas pipes, telephone wires, telegraph wires,
12 electric light or power wires, or conduits for carrying telephone, tele-
13 graph or electric wires, or other structures of any public service
14 corporation, extend in, along or across any part of the work authorized
15 by this title, it shall be and become the duty of the corporation owning
16 or using such tracks, pipes, wires or conduits, or other structures, to
17 make such changes in the same, at its own expense, as may be required
18 during the construction of the improvement provided for in this title,
19 and to construct or rebuild and maintain at its own expense its tracks,
20 pipes, wires or conduits and structures over or along the work by this
21 title authorized and constructed or in the process of construction in
22 pursuance thereof.

23 § 1349-i-1. Municipal and district officers and employees. 1. Any
24 individual who is an officer or employee of a municipality or district
25 in a position involving the operation, maintenance, or administration of
26 a sewer system or sewage collection system prior to the effective date
27 of this section, or any individual who is an officer or employee of a
28 municipality or district in a position involving the operation, mainte-
29 nance, or administration of a sewer system or sewage collection system
30 as of the date immediately preceding the incorporation of such munici-
31 pality pursuant to section thirteen hundred forty-nine-d-1 of this title
32 shall remain an employee of such municipality or district and shall
33 continue to work in the same or similar capacity. Such individuals shall
34 be known as "legacy employees".

35 2. Both the municipality or district and the authority shall be bound
36 by all collective bargaining agreements in effect as of the effective
37 date of this title and any and all successor agreements between the
38 municipality or district and legacy employees. Additionally, any bene-
39 fits provided to the legacy employees pursuant to resolution, law, poli-
40 cy, or past practices, shall continue to be provided to the legacy
41 employees.

42 3. All salaries, compensation, other remuneration, and costs of bene-
43 fits, of any kind or type, provided to legacy employees by the munici-
44 pality or district shall be paid by the municipality or district, as
45 currently, and shall be reimbursed by the authority.

46 4. There shall be no layoffs of any officers or employees of any muni-
47 cipality or district that becomes a participant in this authority which
48 are a direct consequence of the enactment of this title. There shall be
49 a presumption that any layoffs occurring more than sixty months after
50 the date of their participation described in this subdivision shall be
51 deemed not to be such a direct consequence.

52 § 1349-i-2. Employees of the authority. 1. Authority employees hired
53 by the authority shall be considered public employees.

54 2. Authority employees shall be placed in an appropriate bargaining
55 unit with representation maintained by the recognized collective

1 bargaining agent representing the majority of employees of the county as
2 of the effective date of the creation of the authority.

3 § 1349-j. Environmental applications, proceedings, approvals and
4 permits. 1. Any application in relation to the purposes of or contem-
5 plated by this title heretofore filed, or any proceeding heretofore
6 commenced, by the county or any agency thereof with the state department
7 of environmental conservation, the department of transportation or any
8 other state agency or instrumentality or with the United States environ-
9 mental protection agency or any other federal agency or instrumentality
10 shall inure to and for the benefit of the authority to the same extent
11 and in the same manner as if the authority had been a party to such
12 application or proceeding from its inception, and the authority shall be
13 deemed a party thereto, to the extent not prohibited by any federal law.
14 Any license, approval, permit or decision heretofore or hereafter issued
15 or granted pursuant to or as a result of any such application or
16 proceeding shall inure to the benefit of and be binding upon the author-
17 ity and shall be assigned and transferred by the municipalities served
18 by the authority or any agency thereof to the authority, unless such
19 assignment and transfer is prohibited by federal law.

20 2. All such applications, proceedings, licenses, approvals, permits
21 and decisions shall further inure to and be for the benefit of and be
22 binding upon any person leasing, acquiring, constructing, maintaining,
23 using or occupying any facility financed in whole or in part by the
24 authority.

25 § 1349-k. Governmental capacity of the authority and municipalities.
26 The county, other municipalities within the county and the authority in
27 carrying out the respective powers and duties under this title shall be
28 deemed to be acting in a governmental capacity. The construction, oper-
29 ation and maintenance of any project financed in whole or in part by the
30 authority shall be deemed to be the performance of an essential govern-
31 mental function by the authority acting in its governmental capacity,
32 whether such project shall be owned or operated by the authority or by
33 any person or other public corporation.

34 § 1349-l. Limited liability. Neither the members of the authority, nor
35 any municipality, officer or employee acting on behalf of the authority,
36 while acting within the scope of their authority, shall be subject to
37 any personal liability resulting from the construction, maintenance or
38 operation of any of the properties of the authority or from carrying out
39 any of the powers expressly given in this title; provided however, that
40 this section shall not be held to apply to any independent contractor.

41 § 1349-m. Bonds of the authority. 1. The authority shall have the
42 power and is hereby authorized from time to time to issue bonds or notes
43 in such principal amounts as it may determine to be necessary to pay the
44 cost of any project or for any other corporate purpose, including inci-
45 dental expenses in connection therewith. The authority shall have power
46 and is hereby authorized to enter into such agreements and perform such
47 acts as may be required under any applicable federal legislation to
48 secure a federal guarantee of any bonds. The authority shall have power
49 from time to time to refund any bonds by the issuance of new bonds
50 whether the bonds to be refunded have or have not matured, and may issue
51 bonds partly to refund bonds then outstanding and partly for any other
52 corporate purpose. Bonds issued by the authority may be general obli-
53 gations secured by the faith and credit of the authority or may be
54 special obligations payable solely out of particular revenues or other
55 moneys as may be designated in the proceedings of the authority under
56 which the bonds shall be authorized to be issued and subject to any

1 agreements with the holders of outstanding bonds pledging any particular
2 revenues or moneys. The authority may also enter into loan agreements,
3 lines of credit and other security agreements and obtain for or on its
4 behalf letters of credit in each case for securing its bonds or to
5 provide direct payment of any costs which the authority is authorized to
6 pay.

7 2. Bonds shall be authorized by resolution of the authority, be in
8 such denominations, bear such date or dates and mature at such time or
9 times as such resolution shall provide, except that notes and any
10 renewals thereof shall mature within five years from the date of the
11 original issuance and bonds and any renewals thereof shall mature within
12 thirty years from the date of the original issuance of any such bonds or
13 notes. The bonds and notes shall be subject to such terms of redemption,
14 bear interest at such rate or rates payable at such times, be in regis-
15 tered form, be executed in such manner, be payable in such medium of
16 payment at such place or places, and be subject to such terms and condi-
17 tions as such resolution may provide. Bonds may be sold at public or
18 private sale for such price or prices as the authority shall determine.
19 Bonds of the authority shall not be sold by the authority at private
20 sale unless such sale and the terms thereof have been approved in writ-
21 ing by the state comptroller where such sale is not to be to such comp-
22 troller, or by the state director of the budget where such sale is to
23 said comptroller. The authority may pay all expenses, premiums and
24 commissions which it may deem necessary or advantageous in connection
25 with the issuance and sale of bonds.

26 3. Any resolution or resolutions authorizing bonds or any issue of
27 bonds may contain provisions which may be a part of the contract with
28 the holders of the bonds thereby authorized as to:

29 (a) pledging all or any part of the revenues, other moneys or property
30 of the authority to secure the payment of the bonds, including but not
31 limited to, any assets, contracts, investment securities, earnings or
32 proceeds of any grant to the authority received from any private or
33 public source, subject to such agreements with bondholders as may then
34 exist;

35 (b) the setting aside of reserves and the creation of sinking funds
36 and the regulation and disposition thereof;

37 (c) limitations on the purpose to which the proceeds from the sale of
38 bonds may be applied;

39 (d) the rates, rents, fees and other charges to be fixed and collected
40 by the authority and the amount to be raised in each year thereby and
41 the use and disposition of revenues;

42 (e) limitations on the right of the authority to restrict and regulate
43 the use of a project or part thereof in connection with which bonds are
44 issued;

45 (f) limitations on the issuance of additional bonds, the terms upon
46 which additional bonds may be issued and secured and the refunding of
47 outstanding or other bonds;

48 (g) the procedure, if any, by which the terms of any contract with
49 bondholders may be amended or abrogated, the amount of bonds the holders
50 of which must consent thereto, and the manner in which such consent may
51 be given;

52 (h) the creation of special funds into which any revenues or moneys
53 may be deposited;

54 (i) the terms and provisions of any trust, deed or indenture securing
55 the bonds under which the bonds may be issued;

1 (j) vesting in a trustee or trustees such properties, rights, powers
2 and duties in trust as the authority may determine, which may include
3 any or all of the rights, powers and duties of the trustees appointed by
4 the bondholders pursuant to section thirteen hundred forty-nine-h of
5 this title and limiting or abrogating the rights of the bondholders to
6 appoint a trustee under such section or limiting the rights, duties and
7 powers of the trustee;

8 (k) defining the acts or omissions to act which may constitute a
9 default in the obligations and duties of the authority to the bondhold-
10 ers and providing for the rights and remedies of the bondholders in the
11 event of such default, including as a matter of right the appointment of
12 a receiver, provided, however, that such rights and remedies shall not
13 be inconsistent with the general laws of the state and other provisions
14 of this title;

15 (l) limitations on the power of the authority to sell or otherwise
16 dispose of any project or any part thereof;

17 (m) limitations on the amount of revenues and other moneys to be
18 expended for operating, administrative or other expenses of the authori-
19 ty;

20 (n) the payment of the proceeds of bonds, revenues and other moneys to
21 a trustee or other depository and for the method of disbursement thereof
22 with such safeguards and restrictions as the authority may determine;
23 and

24 (o) any other matters of like or different character which in any way
25 affect the security or protection of the bonds or the rights and reme-
26 dies of bondholders.

27 4. In addition to the powers herein conferred upon the authority to
28 secure its bonds, the authority shall have power in connection with the
29 issuance of bonds to enter into such agreements as the authority may
30 deem necessary, consistent or desirable concerning the use of disposi-
31 tion of its revenues or other moneys or property, including the mortgag-
32 ing of any property and the entrusting, pledging or creation of any
33 other security interest in any such revenues, moneys or property and the
34 doing of any act (including refraining from doing any act) which the
35 authority would have the right to do in the absence of such agreements.
36 The authority shall have power to enter into amendments of any such
37 agreements within the powers granted to the authority by this title and
38 to perform such agreements. The provisions of any such agreements may be
39 made a part of the contract with the holders of bonds of the authority.

40 5. Any provision of the uniform commercial code to the contrary
41 notwithstanding, any pledge of or other security interest in revenues,
42 moneys, accounts, contract rights, general intangibles or other personal
43 property made or created by the authority shall be valid, binding and
44 perfected from the time when such pledge is made or other security
45 interest attaches without any physical delivery of the collateral or
46 further act, and the lien of any such pledge or other security interest
47 shall be valid, binding and perfected against all parties having claims
48 of any kind in tort, contract or otherwise against the authority irre-
49 spective of whether or not such parties have notice thereof. No instru-
50 ment by which such a pledge or security is created nor any financing
51 statement need be recorded or filed.

52 6. Whether or not the bonds are of such form and character as to be
53 negotiable instruments under the terms of the uniform commercial code,
54 the bonds are hereby made negotiable instruments within the meaning of
55 and for all the purposes of the uniform commercial code, subject only to
56 the provisions of the bonds for registration.

1 7. Neither the members of the authority nor any person executing bonds
2 shall be liable personally thereon or be subject to any personal liabil-
3 ity or accountability by reason of the issuance thereof.

4 8. The authority, subject to such agreements with bondholders as then
5 may exist, shall have power out of any moneys available therefor to
6 purchase bonds of the authority, which shall thereupon be cancelled, at
7 a price not exceeding (a) if the bonds are then redeemable, the redemp-
8 tion price then applicable, plus accrued interest to the next interest
9 payment date or (b) if the bonds are not then redeemable, the redemption
10 price applicable on the first date after such purchase upon which the
11 bonds become subject to redemption plus accrued interest to the next
12 interest payment date.

13 § 1349-n. Remedies of bondholders. Subject to any resolution or resol-
14 utions adopted pursuant to subdivision three of section thirteen hundred
15 forty-nine-m of this title:

16 1. In the event that the authority shall default in the payment of
17 principal of or interest on any issue of bonds after the same shall
18 become due, whether at maturity or upon call for redemption, and such
19 default shall continue for a period of thirty days, or in the event that
20 the authority shall fail or refuse to comply with the provisions of this
21 title or shall default in any agreement made with the holders of any
22 issue of bonds, the holders of twenty-five percent in aggregate princi-
23 pal amount of the bonds of such issue then outstanding, by instrument or
24 instruments tiled in the office of the clerk of the county and proved or
25 acknowledged in the same manner as deed to be recorded, may appoint a
26 trustee to represent the holders of such bonds for the purpose herein
27 provided.

28 2. Such trustee may and, upon written request of the holders of twen-
29 ty-five per centum in principal amount of such bonds outstanding, shall
30 in such trustee's own name:

31 (a) by action or proceeding in accordance with the civil practice law
32 and rules, enforce all rights of the bondholders, including the right to
33 require the authority to collect rents, rates, fees and charges adequate
34 to carry out any agreement as to, or pledge of, such rents, rates, fees
35 and charges and to require the authority to carry out any other agree-
36 ments with the holders of such bonds to perform its duties under this
37 title;

38 (b) bring an action or proceeding upon such bonds;

39 (c) by action or proceeding, require the authority to account as if it
40 were the trustee of an express trust for the holders of such bonds;

41 (d) by action or proceeding, enjoin any acts or things which may be
42 unlawful or in violation of the rights of the holders of such bonds; and

43 (e) declare all such bonds due and payable, and if all defaults shall
44 be made good, then with the consent of the holders of twenty-five per
45 centum of the principal amount of such bonds then outstanding, to annul
46 such declaration and its consequences.

47 3. Such trustee shall in addition to the foregoing have and possess
48 all of the powers necessary or appropriate for the exercise of any func-
49 tions specifically set forth herein or incident to the general represen-
50 tation of bondholders in the enforcement and protection of their rights.

51 4. The supreme court shall have jurisdiction of any action or proceed-
52 ing by the trustee on behalf of such bondholders. The venue of any such
53 action or proceeding shall be laid in the county.

54 5. Before declaring the principal of bonds due and payable, the trus-
55 tee shall first give thirty days' notice in writing to the authority.

1 6. Any such trustee, whether or not the issue of bonds represented by
2 such trustee has been declared due and payable, shall be entitled as of
3 right to the appointment of a receiver of any part or parts of the
4 project, the revenues of which are pledged for the security of the bonds
5 of such issue, and such receiver may enter and take possession of such
6 part or parts of the project and, subject to any pledge or agreement
7 with holders of such bonds, shall take possession of all moneys and
8 other property derived from such part or parts of the project and
9 proceed with any construction thereon or the acquisition of any proper-
10 ty, real or personal, in connection therewith that the authority is
11 under obligation to do, and to operate, maintain and reconstruct such
12 part or parts of the project and collect and receive all revenues there-
13 after arising therefrom subject to any pledge thereof or agreement with
14 bondholders relating thereto and perform the public duties and carry out
15 the agreements and obligations of the authority under the direction of
16 the court. In any suit, action or proceeding by the trustee the fees,
17 counsel fees and expenses of the trustee and of the receiver, if any,
18 shall constitute taxable disbursements and all costs and disbursements
19 allowed by the court shall be a first charge on any revenues derived
20 from the project.

21 7. The county is authorized to pledge to and agree with the holders of
22 the bonds that the county will not limit or impair the rights hereby
23 vested in the authority to purchase, construct, maintain, operate,
24 repair, improve, increase, enlarge, extend, reconstruct, renovate, reha-
25 bilitate or dispose of any project, or any part or parts thereof, for
26 which bonds or notes of the authority shall have been issued, to estab-
27 lish and collect rates, rents, fees and other charges referred to in
28 this title and to fulfill the terms of any agreements made with the
29 holders of the bonds or notes or with any public corporation or person
30 with reference to such project or part thereof, or in any way impair the
31 rights and remedies of the bondholders, until the bonds, together with
32 interest thereon, with interest on any unpaid installments of interest
33 and all costs and expenses in connection with any action or proceeding
34 by or on behalf of the bondholders are fully met and discharged.

35 § 1349-o. State, county and municipalities not liable on bonds of the
36 authority. Neither the state, county nor any other municipality or
37 public corporation shall be liable on the bonds of the authority and
38 such bonds shall not be a debt of the state, county or any other munici-
39 pality or public corporation, and such bonds shall contain, on the face
40 thereof, a statement to such effect.

41 § 1349-p. Moneys of the authority. All moneys of the authority from
42 whatever source derived shall be paid to the treasurer of the authority
43 and shall be deposited forthwith in interest bearing accounts in a bank
44 or banks in the state designated by the governing body. The moneys in
45 such accounts shall be paid out by the treasurer, upon requisition by
46 the governing body or of such other person or persons as the governing
47 body may authorize to make such requisitions. All deposits of such
48 moneys shall be secured by obligations of the United States and the
49 state of New York of a market value equal at all times to the amount on
50 deposit and all banks and trust companies are authorized to give such
51 security for such deposits. The authority shall have power, notwith-
52 standing the provisions of this section, to contract with the holders of
53 any bonds, as to the custody, collection, security, investment and
54 payment of any moneys of the authority or any moneys held in trust or
55 otherwise for the payment of bonds or in any way to secure bonds, and to
56 carry out any such contract notwithstanding that such contract may be

1 inconsistent with the provisions of this section. Moneys held in trust
2 or otherwise for the payment of bonds, or in any way to secure bonds,
3 and deposits of such moneys may be secured in the same manner as moneys
4 of the authority and all banks and trust companies are authorized to
5 give such security for such deposits. Any moneys of the authority not
6 required for immediate use or disbursement may, at the discretion of the
7 authority, be invested in those obligations specified pursuant to the
8 provisions of section ninety-eight-a of the state finance law, as
9 amended from time to time. Subject to the provisions of any contract
10 with bondholders and with the approval of the comptroller, the authority
11 shall prescribe a system of accounts.

12 § 1349-q. Bonds and notes as legal investment. The bonds of the
13 authority are hereby made securities in which all public officials and
14 bodies of the state and all municipalities, all insurance companies and
15 associations and other persons carrying on an insurance business, all
16 banks, bankers, trust companies, savings banks and savings associations,
17 including savings and loan associations, investment companies and other
18 persons carrying on a banking business, and administrators, guardians,
19 executors, trustees and other fiduciaries and all other persons whatso-
20 ever, who are now or may hereafter be authorized to invest in bonds or
21 notes, or other obligations of the state may properly and legally invest
22 funds including capital in their control or belonging to them. The bonds
23 and notes are also hereby made securities which may be deposited with
24 and may be received by all public officers and bodies of this state and
25 all municipalities for any purposes for which the deposit of bonds or
26 notes or other obligations of this state is now or hereafter may be
27 authorized.

28 § 1349-r. Agreement with the state. The state does hereby pledge to
29 and agree with the holders of any bonds or notes issued by the authority
30 pursuant to this title that the state will not alter or limit the rights
31 hereby vested in the authority to purchase, construct, maintain, oper-
32 ate, repair, improve, increase, enlarge, extend, reconstruct, renovate,
33 rehabilitate or dispose of any project, or any part or parts thereof,
34 for which bonds of the authority shall have been issued, to establish
35 and collect rates, rents, fees and other charges referred to in this
36 title to fulfill the terms of any agreement made with or for the benefit
37 of the holders of bonds or notes or with any public corporation or
38 person with reference to such project or part thereof, or in any way to
39 impair the rights and remedies of bondholders until the bonds or notes,
40 together with the interest thereon, including interest on any unpaid
41 installments of interest and all costs and expenses in connection with
42 any action or proceeding by or on behalf of such holders, are fully met
43 and discharged, provided, however, that this section shall not be
44 construed to limit in any manner, the ability of the state to alter,
45 amend or enforce laws or regulations to protect public health and the
46 environment. The authority is authorized to include this pledge and
47 agreement of the state in any agreement with bondholders.

48 § 1349-s. Exemption from taxes, assessments and certain fees. 1. It
49 is hereby determined that the creation of the authority and the carrying
50 out of its corporate purposes is in all respects for the benefit of the
51 people of the county within the boundaries of the service area and the
52 state and is a public purpose and the authority shall be regarded as
53 performing a governmental function in the exercise of the powers
54 conferred upon it by this title and shall not be required to pay any
55 taxes, special ad valorem levies or special assessments upon any proper-
56 ty owned by it or under its jurisdiction, control or supervision or upon

1 its activities or any filing, recording, or transfer fees or taxes in
2 relation to instruments filed, recorded or transferred by it or on its
3 behalf. The construction, use, occupation or possession of any property
4 owned by the authority including improvements thereon, by any person or
5 public corporation under a lease, lease and sublease or any other agree-
6 ment shall not operate to abrogate or limit the foregoing exemption,
7 notwithstanding that the lessee, user, occupant or person in possession
8 shall claim ownership for federal income tax purposes. Mortgages made or
9 financed, directly or indirectly, by the authority shall be exempt from
10 the mortgage recording taxes imposed by article eleven of the tax law.
11 The authority shall be deemed a public authority for the purposes of
12 section four hundred twelve of the real property tax law.

13 2. Any bonds issued pursuant to this title together with the income
14 therefrom as well as the property of the authority shall be exempt from
15 taxes, except for transfer and estate taxes. The revenues, moneys and
16 all other property and all transactions and activities of the authority
17 shall be exempt from all taxes and governmental fees or charges, whether
18 imposed by the state or any municipality, including without limitation
19 real estate taxes, franchise taxes, sales taxes or other excise taxes.
20 The state hereby covenants with the purchasers and with all subsequent
21 holders and transferees of bonds issued by the authority pursuant to
22 this title, in consideration of the acceptance of any payment of the
23 bonds, that the bonds of the authority issued pursuant to this title and
24 the income therefrom and all revenues, moneys, and other property
25 pledged to secure the payment of such bonds shall at all times be free
26 from taxation except for transfer and estate taxes.

27 § 1349-t. Obligations of contracts not impaired. All contracts of the
28 county in respect of the prior sewer district or any part thereof shall
29 be binding upon the authority with the same force and effect as though
30 such contracts had been expressly assumed by the authority and such
31 contracts shall inure to the benefit of the authority with the same
32 force and effect as though such contracts had been expressly assigned to
33 the authority.

34 § 1349-u. Construction contracts. 1. All contracts or orders for work,
35 material or supplies performed or furnished in connection with
36 construction shall be awarded by the authority pursuant to resolution of
37 the governing body except as hereinafter provided. In any construction
38 contract, the authority may provide a program for the payment of damages
39 for delays and incentive awards in order to encourage timely project
40 completion. An action, suit or proceeding contesting the validity of a
41 contract awarded pursuant to this section, or the validity of the proce-
42 dures relating to such award, shall be governed by the provisions of
43 subdivision six of section one hundred twenty-w of the general municipal
44 law and the term "municipality" as used in such subdivision six shall
45 mean the authority.

46 2. The person whose bid or proposal is accepted shall give security
47 for the faithful performance of the contract, and such other security as
48 the authority may require, and may be required to maintain any
49 construction done under the contract for such period as shall be stipu-
50 lated, all in the manner prescribed and required by the authority and
51 the sufficiency of such security shall, in addition to the justification
52 and acknowledgement, be approved by the authority. All bids or proposals
53 shall be publicly opened by the governing body or its duly authorized
54 agent. If the person whose bid or proposal has been accepted after
55 advertising shall neglect or refuse to accept the contract within five
56 days after written notice that the contract has been awarded to such

1 person on such person's bid or proposal or if such person accepts but
2 does not execute the contract and give proper security, the authority
3 shall have the right to declare such person's deposit forfeited. In case
4 any work shall be abandoned by any contractor, the authority may, if it
5 determines that the public interest is thereby served, adopt on behalf
6 of the authority any or all subcontracts made by such contractor for
7 such work and all such subcontractors shall be bound by such adoption if
8 made. No bid or proposal shall be accepted from or any contract awarded
9 to any person or corporation who is in arrears to the authority or the
10 county upon any obligation of the authority or of the county. Every
11 contract shall be executed in duplicate, one copy of which shall be held
12 by the authority and one copy of which shall be delivered to the
13 contractor. The authority may adopt, utilize, ratify and confirm any
14 request for proposals, invitation for sealed bids, plans, specifications
15 and notices heretofore or hereafter published by the county with respect
16 to any proposed project. The provisions of this section shall supersede
17 any inconsistent provisions of the general municipal law, or any other
18 general, special or local law, or the charter of the county. The author-
19 ity shall be deemed an authority for the purpose of section twenty-eight
20 hundred seventy-eight of this chapter. For the purposes of article
21 fifteen-A of the executive law only, the authority shall be deemed a
22 state agency as that term is used in such article, and its contracts for
23 design, construction, services and materials shall be deemed state
24 contracts within the meaning of that term as set forth in such article.

25 3. A project labor agreement shall be included in a project, provided
26 that, based upon a study done by or for the authority, the authority
27 determines that its interest in obtaining the best work at the lowest
28 possible price, preventing favoritism, fraud and corruption, and other
29 considerations such as the impact of delay, the possibility of cost
30 savings advantages, and any local history of labor unrest, are best met
31 by requiring a project labor agreement. The authority shall conduct such
32 a study and a project labor agreement shall be performed consistent with
33 the provisions of section two hundred twenty-two of the labor law.

34 4. If a project labor agreement is not utilized for construction on a
35 project (a) the authority shall not utilize an alternative project
36 delivery contract for a project; and (b) the contract for a project
37 shall be let to the lowest responsible bidder.

38 § 1349-v. Actions against the authority. The authority shall be
39 subject to section fifty-e of the general municipal law for a notice of
40 claim and the service of such notice of claim.

41 § 1349-w. Audit and annual report. In conformity with the provisions
42 of section five of article ten of the constitution, the accounts of the
43 authority shall be subject to the supervision of the comptroller and an
44 annual audit shall be performed by an independent certified accountant.
45 The authority shall annually submit to the governor and comptroller and
46 to the chairs of the senate finance and assembly ways and means commit-
47 tees a detailed report pursuant to the provisions of section twenty-
48 eight hundred of this chapter, and a copy of such report shall be filed
49 with the clerk of each town and village in the service area.

50 § 1349-x. Separability clause. If any section, clause or provision in
51 this title shall be held by a competent court to be unconstitutional or
52 ineffective in whole or in part, to the extent that it is not unconsti-
53 tutional or ineffective, it shall be valid and effective, and no other
54 section, clause or provision shall on account thereof be deemed invalid
55 or ineffective.

1 § 1349-y. Effect of inconsistent provisions. In so far as the
2 provisions of this title are inconsistent with the provisions of any
3 other act, general or special, or of any charter, local law, ordinance
4 or resolution of any municipality, the provisions of this title shall be
5 controlling. Nothing contained in this section shall be held to supple-
6 ment or otherwise expand the powers or duties of the authority otherwise
7 set forth in this title. Except as specifically provided for in this
8 title, in the performance of any of its functions, powers and duties,
9 the authority shall be subject to all applicable general or special laws
10 of the state, the county charter, and any local law, ordinance or resolu-
11 tion of the county.

12 § 3. Notwithstanding any law to the contrary, no services or work
13 described in this act, or any work similar in nature, currently
14 performed by municipal or county employees or future work that is simi-
15 lar in scope and nature to the work being currently performed by munici-
16 pal or county employees shall be contracted out or privatized by the
17 county, municipality, or public authority. All such future work shall be
18 performed by public employees.

19 Nothing in this act shall be deemed to waive or impair any rights or
20 benefits of employees of a participating municipality or county that
21 otherwise would be available to them pursuant to the terms of
22 agreements between the certified representatives of such employees and
23 the county or participating municipality pursuant to article 14 of the
24 civil service law; all work performed by the municipality or county
25 or public authority that ordinarily would be performed by employees
26 subject to article 14 of the civil service law shall continue to be
27 performed by such employees.

28 § 4. This act shall take effect on the one hundred eightieth day after
29 it shall have become a law. Effective immediately, the addition, amend-
30 ment and/or repeal of any rule or regulation necessary for the implemen-
31 tation of this act on its effective date are authorized to be made and
32 completed on or before such effective date.